Return of Fuel Charge Proceeds to Farmers Tax Credit

- Use this form to claim the **return of fuel charge proceeds to farmers tax credit** if you are any of the following:
  - a self-employed individual with a fiscal period beginning in 2024 and ending in 2025
  - a graduated rate estate (GRE) with a tax year beginning in 2024 and ending in 2025
  - an individual (including a trust) who was allocated a portion of the credit from a partnership for its fiscal period beginning in 2024 and ending in 2025

  and you (or the partnership) operate(s) a farming business with one or more permanent establishments in one or more of the following designated provinces: Ontario (ON), Manitoba (MB), Saskatchewan (SK), Alberta (AB), Nova Scotia (NS), Prince Edward Island (PE), Newfoundland and Labrador (NL), or New Brunswick (NB).
- The **return of fuel charge proceeds to farmers tax credit** is a refundable tax credit equal to the **eligible farming expenses** that can be attributed to a **designated province** for the tax year, multiplied by the **payment rate** specified for the calendar year for the designated province. Members of a partnership can claim their portion of the partnership's total credit based on their specified proportion.
- If you operate multiple farming businesses, fill in only one Form T2043 and attach the applicable additional calculation charts for each of your farming businesses.
- Attach this form and additional calculation charts, if applicable, to your income tax and benefit return.
- If you are claiming this credit for a trust, fill in this form and attach it to Form T3RET, T3 Trust Income Tax and Information Return.

67062 ☐ Tick this box if you have multiple farming businesses with one or more permanent establishments in multiple provinces or territories.

How to fill in this form

Fill in parts 1, 2 and 5 if you have:

- one farming business with one or more permanent establishments in only one designated province
- multiple farming businesses, each of which has one or more permanent establishments in the same designated province
- multiple farming businesses, where, for example, one business has one or more permanent establishments in only one designated province and another business has one or more permanent establishments in a different designated province

Fill in parts 1, 3, 4 and 5 if your farming business operates in more than one province or territory and at least one is a designated province.

If a portion of this credit was allocated to you as a member of a partnership that operates a farming business, go to Part 5 and only fill in the applicable lines 67079 to 67082 and lines 67103 to 67106, as well as amounts 5C and 5D.

To fill in this form, you will need to refer to Form(s) T2042, Statement of Farming Activities, you filed for your business(es). If you are participating in the AgriStability and AgriInvest programs, refer to the following applicable forms instead:

- Form T1163, Statement A – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- Form T1164, Statement B – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations
- Form T1273, Statement A – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- Form T1274, Statement B – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations

Part 1 – Gross farming expenses

Fill in a separate Chart A for each business.

Total gross farming expenses for all of your businesses: Add amount 6 of every Chart A. See **note 1** . . . . . 67061 _____

Note 1: If your total gross farming expenses for all businesses are $25,000 or more, you are eligible to claim the credit.

Part 2 – Return of fuel charge proceeds to farmers tax credit (one designated province per farming business)

Fill in Part 2 for your farming businesses that have one or more permanent establishments that operate in only one of the designated provinces.

Add all farming expenses in ON from amount 8 of Chart A. . . .	67063		× ON payment rate 0.229% =		2A
Add all farming expenses in MB from amount 8 of Chart A. . . .	67064		× MB payment rate 0.229% =		2B
Add all farming expenses in SK from amount 8 of Chart A	67065		× SK payment rate 0.229% =		2C
Add all farming expenses in AB from amount 8 of Chart A	67066		× AB payment rate 0.229% =		2D
Add all farming expenses in NS from amount 8 of Chart A	67091		× NS payment rate 0.229% =		2E
Add all farming expenses in PE from amount 8 of Chart A	67092		× PE payment rate 0.229% =		2F
Add all farming expenses in NL from amount 8 of Chart A	67093		× NL payment rate 0.229% =		2G
Add all farming expenses in NB from amount 8 of Chart A. . . .	67094		× NB payment rate 0.229% =		2H
Total: Add amounts 2A to 2H (enter this total at amount 5A)					2I

Part 3 – Summary of eligible farming expenses allocated to a designated province

Fill in a separate Chart B for each farming business with one or more permanent establishments in more than one province or territory, where at least one province is a designated province, to allocate eligible farming expenses to a designated province.

Gross income of the farming businesses reasonably allocated to the permanent establishment(s) in the designated province(s)

Add all ON amounts from row 1 of every Chart B	67067	
Add all MB amounts from row 1 of every Chart B	67068	
Add all SK amounts from row 1 of every Chart B	67069	
Add all AB amounts from row 1 of every Chart B	67070	
Add all NS amounts from row 1 of every Chart B	67095	
Add all PE amounts from row 1 of every Chart B	67096	
Add all NL amounts from row 1 of every Chart B	67097	
Add all NB amounts from row 1 of every Chart B	67098	

Salaries and wages paid to employees of the farming businesses reasonably allocated to the designated province(s)

Add all ON amounts from row 4 of every Chart B	67071	
Add all MB amounts from row 4 of every Chart B	67072	
Add all SK amounts from row 4 of every Chart B	67073	
Add all AB amounts from row 4 of every Chart B	67074	
Add all NS amounts from row 4 of every Chart B	67099	
Add all PE amounts from row 4 of every Chart B	67100	
Add all NL amounts from row 4 of every Chart B	67101	
Add all NB amounts from row 4 of every Chart B	67102	
Total gross income in all provinces and territories from all farming businesses: Add the amount from row 2 of every Chart B you fill in	67075	
Total salaries and wages paid to employees in all provinces and territories from all farming businesses: Add the amount from row 5 of every Chart B you fill in	67076	

Part 4 – Return of fuel charge proceeds to farmers tax credit (farming business in more than one province or territory, and at least one province is a designated province)

Fill in Part 4 to determine your eligible credit claim for each designated province in which your farming businesses operate.

Fill in a separate Chart C for each farming business.

Total credit in ON for all businesses: Add amount 7 of every Chart C		4A
Total credit in MB for all businesses: Add amount 8 of every Chart C		4B
Total credit in SK for all businesses: Add amount 9 of every Chart C		4C
Total credit in AB for all businesses: Add amount 10 of every Chart C		4D
Total credit in NS for all businesses: Add amount 11 of every Chart C		4E
Total credit in PE for all businesses: Add amount 12 of every Chart C		4F
Total credit in NL for all businesses: Add amount 13 of every Chart C		4G
Total credit in NB for all businesses: Add amount 14 of every Chart C		4H
Total: Add amounts 4A to 4H (enter this total at amount 5B)		4I

Part 5 – Total return of fuel charge proceeds to farmers tax credit

Fill in Part 5 to determine your total credit for all of your farming businesses.

Enter amount 2I			5A
Enter amount 4I			5B
Credit allocated from a partnership for ON (amount from box 237 of each T5013 slip or from each letter)	67079	•	
Credit allocated from a partnership for MB (amount from box 237 of each T5013 slip or from each letter)	67080	•	
Credit allocated from a partnership for SK (amount from box 237 of each T5013 slip or from each letter)	67081	•	
Credit allocated from a partnership for AB (amount from box 237 of each T5013 slip or from each letter)	67082	•	
Credit allocated from a partnership for NS (amount from box 237 of each T5013 slip or from each letter)	67103	•	
Credit allocated from a partnership for PE (amount from box 237 of each T5013 slip or from each letter)	67104	•	
Credit allocated from a partnership for NL (amount from box 237 of each T5013 slip or from each letter)	67105	•	
Credit allocated from a partnership for NB (amount from box 237 of each T5013 slip or from each letter)	67106	•	
Total credit allocated from partnerships: Add lines 67079 to 67082 and lines 67103 to 67106. See **note 2**		►	5C
Total credit for all businesses: Amount 5A **plus** amount 5B **plus** amount 5C (enter this amount on line 47556 of your income tax and benefit return). See **note 3**			5D

This credit cannot be shared with another individual.

See next page for notes 2 to 3.

Part 5 – Total return of fuel charge proceeds to farmers tax credit (continued)

Note 2: The credit allocated to an individual who is a member of a partnership is considered assistance. Therefore, you must include the portion of the credit allocated to each business on line 9951 of Form T2042 for that business when you calculate your net farming income in the tax year the credit is claimed.

If you participate in the AgriStability and AgriInvest programs, include these amounts on line 9951 of the respective Forms T1163, T1164, T1273, or T1274 instead.

Note 3: The credit for a GRE operating a farming business is considered assistance. Therefore, you must include the portion of the credit allocated to each business from amounts 5A and 5B of this form on line 9600 of Form T2042 for that business when you calculate your gross farming income in the tax year the credit is claimed.

If you participate in the AgriStability and AgriInvest programs, include these amounts on line 9600 of the respective Forms T1163, T1164, T1273, or T1274 instead.

If you are claiming this credit for a trust, enter amount 5D on line 920 of Form T3RET.

Chart A – Gross farming expenses

If you are participating in the AgriStability and AgriInvest programs, see **note 4**.

Total farming expenses (line 9898 of Form T2042)			1
Mandatory inventory adjustments (line 9937 of Form T2042)	2		
Optional inventory adjustments (line 9938 of Form T2042)	3		
Non-arm's length transactions (total of all expenses incurred in a non-arm's length transaction from Part 4 of Form T2042)	4		
Subtotal: Add amounts 2 to 4.		►	5
Gross farming expenses: Amount 1 **minus** amount 5			6

Add amount 6 to line 67061 of Part 1.

Total number of days in the fiscal period that fall within the 2024 calendar year **divided** by the total number of days in the fiscal period (if the fiscal period starts and ends in 2025, enter "0")		7
Amount 6 **multiplied** by amount 7		8

Note 4: If you are participating in the AgriStability and AgriInvest programs, refer to the applicable Form T1163, T1164, T1273, or T1274 filed for your business instead of Form T2042. If you are using any of these forms, enter the following amounts:

- amount from line 9968 at amount 1
- amount from line 9937 at amount 2
- amount from line 9938 at amount 3
- total of all expenses incurred in a non-arm's length transaction from the "Expenses" section at amount 4

Chart B – Calculation of eligible farming expenses allocated to a designated province

	ON	MB	SK	AB	NS	PE	NL	NB
1. Gross income ($) of the farming business reasonably allocated to the permanent establishment(s) in the designated province (applicable portion of line 9659 of Form T2042, excluding the credit). See **note 5**.								
2. Total gross income ($) of the farming business in all provinces and territories (line 9659 of Form T2042, excluding the credit). See **note 6**.								
3. Percentage (%) of gross income allocated to the designated province. Row 1 **divided** by row 2								
4. Salaries and wages paid ($) to employees of the farming business reasonably allocated to the permanent establishment(s) in the designated province (applicable portion of line 9814 of Form T2042). See **note 7**.								
5. Total salaries and wages paid ($) to employees of the farming business in all provinces and territories (line 9814 of Form T2042). See **note 8**.								
6. Percentage (%) of salaries and wages allocated to the designated province. Row 4 **divided** by row 5								
7. Total percentage (%) of expenses. Row 3 **plus** row 6								
8. Percentage (%) of expenses allocated to the designated province. Row 7 **multiplied** by 50%. See **note 9**.								
9. Eligible farming expenses ($) of the farming business allocated to the designated province. Row 8 **multiplied** by amount 6 of Chart A for this business								
10. Total number of days in the fiscal period that fall within the 2024 calendar year **divided** by the total number of days in the fiscal period								
11. Portion of eligible farming expenses of the farming business allocated to the designated province attributed to the 2024 calendar year. Row 9 **multiplied** by row 10								

See next page for notes 5 to 9.

Chart B – Calculation of eligible farming expenses allocated to a designated province (continued)

Note 5: If you are participating in the AgriStability and AgriInvest programs, enter the applicable portion of line 9959 of the applicable Form T1163, T1164, T1273, or T1274 instead.

The gross income has to be allocated in accordance with section 2603 of the Income Tax Regulations. Add the amounts from row 1 to the appropriate line for the corresponding designated province in Part 3 (lines 67067, 67068, 67069, 67070, 67095, 67096, 67097, and 67098).

Note 6: If you are participating in the AgriStability and AgriInvest programs, enter the total of line 9959 of the applicable Form T1163, T1164, T1273, or T1274 instead.

Add the total gross income of the farming business in all provinces and territories to line 67075 in Part 3.

Note 7: If you are participating in the AgriStability and AgriInvest programs, enter the applicable portion of lines 9815 and 9816 of the applicable Form T1163, T1164, T1273, or T1274 instead.

The salaries and wages paid to employees have to be allocated in accordance with section 2603 of the Income Tax Regulations. Add the amounts from row 4 to the appropriate line for the corresponding designated province in Part 3 (lines 67071, 67072, 67073, 67074, 67099, 67100, 67101, and 67102).

Note 8: If you are participating in the AgriStability and AgriInvest programs, enter the total of lines 9815 and 9816 of the applicable Form T1163, T1164, T1273, or T1274 instead.

Add the total salaries and wages paid to employees of the farming business in all provinces and territories to line 67076 in Part 3.

Note 9: If either the total gross income from row 2 or the total salaries and wages from row 5 is zero, do not multiply row 7 by 50%.

Chart C – Return of fuel charge proceeds to farmers tax credit (farming business in more than one province or territory, and at least one province is a designated province)

Eligible farming expenses in ON from row 11 of Chart B. Add amount 7 at amount 4A	_____	× ON payment rate 0.229%	=	_____	7
Eligible farming expenses in MB from row 11 of Chart B. Add amount 8 at amount 4B	_____	× MB payment rate 0.229%	=	_____	8
Eligible farming expenses in SK from row 11 of Chart B. Add amount 9 at amount 4C	_____	× SK payment rate 0.229%	=	_____	9
Eligible farming expenses in AB from row 11 of Chart B. Add amount 10 at amount 4D	_____	× AB payment rate 0.229%	=	_____	10
Eligible farming expenses in NS from row 11 of Chart B. Add amount 11 at amount 4E	_____	× NS payment rate 0.229%	=	_____	11
Eligible farming expenses in PE from row 11 of Chart B. Add amount 12 at amount 4F	_____	× PE payment rate 0.229%	=	_____	12
Eligible farming expenses in NL from row 11 of Chart B. Add amount 13 at amount 4G	_____	× NL payment rate 0.229%	=	_____	13
Eligible farming expenses in NB from row 11 of Chart B. Add amount 14 at amount 4H	_____	× NB payment rate 0.229%	=	_____	14

See the privacy notice on your return.